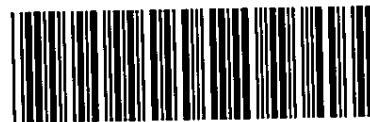


Manchester United Football Club Limited
Annual Report and financial statements
for the year ended 30 June 2013

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Manchester United Football Club Limited

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Manchester United Football Club Limited

Directors' report

The directors present their report and audited financial statements of Manchester United Football Club Limited ('the Company') for the year ended 30 June 2013

Principal activities

The principal activity of the Company continues to be the operation of a professional football club together with related and ancillary activities

Business review

The Manchester United team maintained a high level of performance on the pitch, finishing as Champions in the FA Premier League (2012 runners-up)

At the end of the year Sir Alex Ferguson retired as first team manager David Moyes was subsequently appointed as the new first team manager

During the year Old Trafford staged 38 (2012 27) match day events comprising 28 (2012 25) Manchester United home games (comprising 19 FA Premier League, 4 UEFA Champions League, and 5 domestic cup), 1 Rugby League Grand Final, and 9 Olympic Games football matches)

Turnover for the year was £194.4 million (2012 £187.4 million) Operating profit before depreciation, amortisation of, and profit on disposal of, players' registrations amounted to £13.5 million (2012 £23.9 million) Operating expenses – exceptional items for the year were £2.4 million (2012 £1.8 million) – see note 4 to the financial statements The Company made a loss on ordinary activities before taxation of £22.7 million (2012 £9.5 million) Loss on ordinary activities before taxation includes profit on disposal of players' registrations amounting to £9.2 million (2012 £9.7 million)

Strategy

The four key elements for the Company's strategy for growth are

- Maintaining playing success
- Treating fans as customers
- Leveraging the global brand
- Developing club media rights

Manchester United Football Club Limited

Directors' report (continued)

Summary of key performance indicators for 2012/13

Description	Target	Achieved	Detail
Team performance	Minimum third place finish in the FA Premier League	Yes	FAPL Champions
	Last 16 of the UEFA Champions League	Yes	Exited at round of 16 stage
	Last 8 of domestic cup competitions - FA Cup - Carling Cup	Yes No	Exited at 6 th round Exited at 4 th round
Matchday turnover	Maximum achievable attendance at home FA Premier League and UEFA Champions League matches	Yes	FA Premier League and UEFA Champions league home games largely sold out
Customer relationship management fan records	Customer base growth	Yes	122% increase

Future developments and outlook for 2013/14

- Over 63,000 season tickets comprising both general admission and executive facility seats sold for the 2013/14 season
- The team qualified for the UEFA Champions League for the 18th consecutive season by finishing Champions of the FA Premier League in 2012/13

Principal risks and uncertainties

The Company is exposed to a range of risks and uncertainties which have the potential to affect the long-term performance of the Company. The directors meet with the executive directors of the Company's parent (Manchester United Limited), by telephone on a weekly basis and face to face several times a year. At these meetings the directors regularly monitor the key risks faced by the Group and discuss mitigating actions. In addition to these discussions, the management of day to day operational risks within the business is delegated to the Group Executive (the senior management team including all the executive directors of Manchester United Limited).

The key business risks and uncertainties affecting the Company are considered to relate to

- maintaining and enhancing our brand and reputation,
- recruitment and retention of key employees (including playing and coaching staff),
- the performance and popularity of our first team,
- negotiation and pricing of key broadcasting contracts, and
- the safety and security of supporters at the Old Trafford stadium

Manchester United Football Club Limited

Directors' report (continued)

Maintaining and enhancing our brand and reputation

The success of our business depends on the value and strength of our brand and reputation. Our brand and reputation are also integral to the implementation of our strategies for expanding our follower base. Unfavourable publicity regarding our first team's performance in league and cup competitions or their behavior off the field, our ability to attract and retain certain players and coaching staff or actions by or changes in our ownership, could negatively affect our brand and reputation. Failure to respond effectively to negative publicity could also further erode our brand and reputation. In addition, events in the football industry as whole, even if unrelated to us, may negatively affect our brand or reputation. As a result, the size, engagement, and loyalty of our follower base and the demand for our products may decline. Damage to our brand or reputation or loss of our followers' commitment for any of these reasons could impair our ability to expand our follower base or our ability to sell significant quantities of our products, which would result in decreased turnover across our turnover streams, and have a material adverse effect on our business, results of operations, financial condition and cash flow, as well as require additional resources to rebuild our brand and reputation. In addition, maintaining and enhancing our brand and reputation may require us to make substantial investments. Failure to successfully maintain and enhance the Manchester United brand or our reputation or excessive or unsuccessful expenses in connection with this effort could have a material adverse effect on our business, results of operations, financial condition and cash flow.

Recruitment and retention of key employees (including playing and coaching staff)

We face strong competition from other football clubs in England and Europe in attracting and retaining talent. We aim to recruit and retain the best playing, coaching and general staff by offering attractive remuneration packages, by ensuring regular communication with our employees and offering regular reviews of performance and training.

The performance and popularity of our first team

Our turnover is dependent on the performance and popularity of our first team. Significant sources of our turnover are the result of strong performances in the English domestic and European competitions. Our turnover varies significantly depending on our first team's participation and performance in these competitions. Our first team's performance affects matchday turnover through ticket sales and broadcasting turnover through frequency of appearance and performance. Our participation in the UEFA Champions League, which is dependent upon the first team's performance in the FA Premier League, is particularly important. The business seeks to maintain playing success by continually investing in the squad either via the youth academy or by acquiring new talent via our extensive team of scouts who operate both domestically and internationally.

Negotiation and pricing of key broadcasting contracts

During the year 98.4% (2012-99.0%) of our broadcasting turnover was generated from broadcasting rights for FA Premier League and European competition matches. Contracts for these broadcasting rights are negotiated collectively by the FA Premier League and UEFA respectively. We do not participate in and therefore do not have any direct influence on the outcome of contract negotiations. Furthermore, the limited number of bidders for these rights may result in reduced prices paid for those rights in the future.

The safety and security of supporters at the Old Trafford stadium

We place the security of our supporters at Old Trafford at the top of the agenda and the Board continually reviews the safety and security arrangements both with our own security staff, the local authorities and external consultants to ensure that best practice is followed at all times.

Manchester United Football Club Limited

Directors' report (continued)

Financial risk management

The Company's activities expose it to a variety of financial risks: market risk (including currency risk and interest rate risk), credit risk and liquidity risk. The Company uses derivative financial instruments to hedge certain exposures.

The policy for each of the above risks is described in more detail below.

a) Market risk

Currency risk

The Company is exposed to the following currency risks:

- Significant turnover received in Euros is primarily as a result of participation in European cup competitions. During the year ended 30 June 2013 the Company received a total of €37.4 million of turnover denominated in Euros (2012: €38.7 million). The Company seeks to hedge the majority of the currency risk of this turnover by placing forward contracts at the point at which it becomes reasonably certain that it will receive the turnover.
- Payment and receipts of transfer fees may also give rise to foreign currency exposures. Due to the nature of player transfers the Company may not always be able to predict such cash flows until the transfer has taken place. Where possible and depending on the payment profile of transfer fees payable and receivable the Company will seek to hedge future payments and receipts at the point it becomes reasonably certain that the payments will be made or the income will be received. When hedging income to be received, the Company also takes account of the credit risk of the counterparty.

It is the policy of the Company to enter into forward foreign exchange contracts to cover specific foreign currency payments and receipts.

Interest rate risk

The Company has no significant interest bearing assets other than cash on deposit which attracts interest at a small margin above UK base rates. Interest bearing liabilities include any bank overdraft which bears interest at a variable rate.

b) Credit risk

Credit risk refers to the risk that a counterparty will default on its contractual obligations resulting in financial loss to the Company. Credit risk arises from cash held and debtors (excluding amounts owed by group undertakings, corporation tax, and prepayments and accrued income) – the maximum credit exposure is £80,195,000 (2012: £65,313,000). Management does not expect any material losses from non-performance by these counterparties and there are no significant concentrations of credit risk within the Company.

Credit terms offered by the Company vary depending on the type of sale. For seasonal matchday facilities payment is usually required in advance of the season to which the sale relates. For other sales the credit terms typically range from 14 - 30 days, although specific agreements may be negotiated in individual contracts with terms beyond 30 days. For player transfer activities, credit terms are determined on a contract by contract basis. Of the total trade debtors balance of £15,335,000 (2012: £10,363,000), £7,913,000 (2012: £6,879,000) relates to amounts receivable from various other football clubs in relation to player trading.

Manchester United Football Club Limited

Directors' report (continued)

Financial risk management (continued)

c) Liquidity risk

The Company's liquidity position and short-term debt finance ensures that it has sufficient funds available for short-term working capital requirements and for investment in the playing squad and other capital projects. The annual cash flow is cyclical in nature with a significant portion of cash inflows being received prior to the start of the playing season. Ultimate responsibility for liquidity risk management rests with the Executive Directors of the Company's immediate parent company Manchester United Limited. The Executive Directors use management information tools including budgets and cash flow forecasts to constantly monitor and manage current and future liquidity.

Cash flow forecasting is performed on a regular basis which includes rolling forecasts of the Company's liquidity requirements to ensure that the Company has sufficient cash to meet operational needs.

Post balance sheet events

Information about post balance sheet events can be found in note 20 to the financial statements.

Dividends

An interim dividend of £nil was paid during the year (2012: £nil). The directors do not recommend the payment of a final dividend (2012: £nil).

Directors

The directors who held office throughout the year and up to the date of signing the financial statements were as follows:

R Arnold	(appointed 10 January 2013)
M Bolingbroke	(appointed 10 January 2013)
Sir R Charlton CBE	
J M Edelson	
D A Gill	
A Glazer	(appointed 10 January 2013)
B Glazer	(appointed 10 January 2013)
J Glazer	(appointed 10 January 2013)
K Glazer	(appointed 10 January 2013)
D Glazer Kasewitz	(appointed 10 January 2013)
E Glazer	(appointed 10 January 2013)
E Woodward	(appointed 10 January 2013)

Qualifying third party indemnity provisions

At the time the report was approved a qualifying third party indemnity provision, made by the Manchester United plc Group, was in place for the directors of Manchester United plc and its subsidiary companies. This has been in force throughout the financial year.

Manchester United Football Club Limited

Directors' report (continued)

Employment policies

The Company is committed to its 'people philosophy' and, as a result, to promoting policies to ensure that employees and applicants for employment are treated fairly and consistently. The Company has an equal opportunities policy, the aim of which is not to discriminate against employees or applicants for employment on the grounds of age, disability, ethnic origin, nationality or national origin, religion, race, gender, sexual orientation, marital status or family circumstances. Entry into and progression within the Company is determined solely by the job criteria and personal ability/competence.

The Company also seeks to apply best practice in the employment, training, development and promotion of disabled persons. The Company takes seriously its statutory obligations relating to disabled persons and seeks not to discriminate against current or prospective employees because of a reason relating to their disability. If an existing employee becomes disabled, such steps that are practical and reasonable are taken, in respect of adjustments to premises or employment arrangements, to retain him/her in employment. Where appropriate, rehabilitation and suitable training are given.

Employees are regularly updated on the performance of the Company. This is achieved through a broad base of communications including staff briefings, announcements and the staff newsletter 'RedLines'. Employees' views are sought through staff surveys and action plans and are then developed to target priority for improvement areas. The Company is continuing with its focus on reward and recognition of performance as one of these priorities for improvement and its focus on a total reward strategy which has three principal components: compensation (pay package), benefits and the work experience. Schemes are continually introduced focusing on rewarding individual performance.

The Company has established its Vision and Values and these are communicated to all employees. Our Vision and Values are directly linked to performance and development review procedures, training and organisational change programmes and reward and recognition initiatives, which apply to all our employees.

Environmental policies

The Company recognises its responsibility to ensure a safe and healthy environment and will endeavour to maintain sound environmental performance through the continued maintenance of our proactive environmental management system, which is integrated into our overall business activities.

Statement of directors' responsibilities

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have prepared the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period.

In preparing these financial statements, the directors are required to

- select suitable accounting policies and then apply them consistently,
- make judgements and accounting estimates that are reasonable and prudent,

Manchester United Football Club Limited

Directors' report (continued)

Statement of directors' responsibilities (continued)

- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements, and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Statement of disclosure of information to auditors

Each director who is a director at the date of approval of this annual report confirms that

- a) so far as the director is aware, there is no relevant audit information of which the Company's auditors are unaware, and
- b) the director has taken all the steps that he/she ought to have taken as a director in order to make himself/herself aware of any relevant audit information and to establish that the Company's auditors are aware of that information.

This confirmation is given and should be interpreted in accordance with the provisions of s418 of the Companies Act 2006.

Approved by the Board and signed on its behalf by


M Bollingbroke
Director

Registered office
Old Trafford
Manchester
M16 0RA

Company registered in England and Wales number 00095489
27 September 2013

Manchester United Football Club Limited

Independent auditors' report to the members of Manchester United Football Club Limited

We have audited the financial statements of Manchester United Football Club Limited for the year ended 30 June 2013 which comprise the Profit and loss account, the Balance sheet and the related notes. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice).

Respective responsibilities of directors and auditors

As explained more fully in the Statement of directors' responsibilities set out on page 6 and 7, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view. Our responsibility is to audit and express an opinion on the financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland). Those standards require us to comply with the Auditing Practices Board's Ethical Standards for Auditors.

This report, including the opinions, has been prepared for and only for the Company's members as a body in accordance with Chapter 3 of Part 16 of the Companies Act 2006 and for no other purpose. We do not, in giving these opinions, accept or assume responsibility for any other purpose or to any other person to whom this report is shown or into whose hands it may come save where expressly agreed by our prior consent in writing.

Scope of the audit of the financial statements

An audit involves obtaining evidence about the amounts and disclosures in the financial statements sufficient to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or error. This includes an assessment of whether the accounting policies are appropriate to the Company's circumstances and have been consistently applied and adequately disclosed, the reasonableness of significant accounting estimates made by directors, and the overall presentation of the financial statements. In addition, we read all the financial and non-financial information in the Annual Report and financial statements to identify material inconsistencies with the audited financial statements. If we become aware of any apparent material misstatements or inconsistencies we consider the implications for our report.

Opinion on financial statements

In our opinion the financial statements

- give a true and fair view of the state of the Company's affairs as at 30 June 2013 and of its loss for the year then ended,
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice, and
- have been prepared in accordance with the requirements of the Companies Act 2006

Opinion on other matter prescribed by the Companies Act 2006

In our opinion the information given in the Directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements.

Manchester United Football Club Limited

Independent auditors' report to the members of Manchester United Football Club Limited (continued)

Matters on which we are required to report by exception

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us, or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made, or
- we have not received all the information and explanations we require for our audit



NWE Boden (Senior Statutory Auditor)
For and on behalf of PricewaterhouseCoopers LLP
Chartered Accountants and Statutory Auditors
Manchester
27 September 2013

Manchester United Football Club Limited

Profit and loss account

	Note	Year ended 30 June	
		2013 £'000	2012 £'000
Turnover	2	194,442	187,369
Operating expenses - excluding exceptional items	3	(224,777)	(204,546)
Operating expenses - exceptional items	4	(2,401)	(1,791)
Total operating expenses		(227,178)	(206,337)
Operating loss before profit on disposal of players' registrations		(32,736)	(18,968)
Analysed as			
Operating profit before depreciation, amortisation of, and profit on disposal of, players' registrations		13,500	23,915
Depreciation		(4,522)	(4,621)
Amortisation of players' registrations		(41,714)	(38,262)
Profit on disposal of players' registrations		9,162	9,691
Operating loss		(23,574)	(9,277)
Interest payable	5	(305)	(437)
Interest receivable	5	1,195	180
Loss on ordinary activities before taxation		(22,684)	(9,534)
Tax on loss on ordinary activities	7	11,312	7,256
Loss for the financial year	15,16	(11,372)	(2,278)

The results for both the current and prior year derive from continuing activities

There were no recognised gains or losses in the current or prior year other than stated above and therefore no statement of recognised gains and losses has been presented

There is no material difference between the loss on ordinary activities before taxation and the loss for the financial year stated above and their historical cost equivalents

Manchester United Football Club Limited

Balance sheet

		As at 30 June	
	Note	2013 £'000	2012 £'000
Fixed assets			
Intangible assets – players' registrations	8	119,947	112,399
Tangible assets	9	142,039	135,533
		261,986	247,932
Current assets			
Debtors – amounts falling due within one year	10	100,976	71,413
Debtors – amounts falling due after more than one year	10	1,583	3,000
Cash at bank and in hand		64,777	53,771
		167,336	128,184
Creditors – amounts falling due within one year	11	(313,900)	(250,829)
Net current liabilities		(146,564)	(122,645)
Total assets less current liabilities		115,422	125,287
Creditors – amounts falling due after more than one year	12	(9,858)	(8,650)
Provision for liabilities	13	(5,512)	(4,663)
Deferred income		(47,724)	(48,274)
Net assets		52,328	63,700
Capital and reserves			
Called-up share capital	14	1,009	1,009
Profit and loss account	15	51,319	62,691
Total shareholders' funds	16	52,328	63,700

The financial statements on pages 10 to 28 were approved by the board of directors on 27 September 2013 and signed on its behalf by



M Bolingbroke
Director

Company number 00095489

Manchester United Football Club Limited

Notes to the financial statements

1 Accounting policies

The financial statements have been prepared using the accounting policies described below which have been consistently applied to all years presented, unless otherwise stated

Basis of accounting

The financial statements have been prepared on a going concern basis under the historical cost convention and have been drawn up to comply with applicable accounting standards in the United Kingdom and the Companies Act 2006

Turnover

Turnover represents income receivable from the Company's principal activities excluding transfer fees and value added tax. Turnover is analysed between Commercial, Broadcasting and Matchday

a) Commercial

Commercial turnover comprises income receivable from the FA Premier League in relation to various sponsorship contracts that the FA Premier League negotiates centrally

Commercial turnover which is received in advance of a period end but relating to future periods is treated as deferred income. The deferred income is then released to turnover on an accruals basis in accordance with the substance of the relevant agreements

b) Broadcasting

Broadcasting turnover represents income receivable from all UK and overseas broadcasting contracts, including contracts negotiated centrally by the FA Premier League and UEFA

Distributions from the FA Premier League comprise a fixed element (which is recognised evenly as domestic home league matches are played), facility fees for live coverage and highlights of domestic home and away matches (which are recognised when the respective match is played), and merit awards (which are only recognised when they are known at the end of each football season)

Distributions from UEFA relating to participation in European cup competitions comprise market pool payments (which are recognised over the matches played in the competition, a portion of which reflects Manchester United's performance relative to the other FA Premier League clubs in the competition) and fixed amounts for participation in individual matches (which are recognised when the matches are played)

Broadcasting turnover which is received in advance of a period end but relating to future periods is treated as deferred income. The deferred income is then released to turnover on an accruals basis in accordance with the substance of the relevant agreements

Manchester United Football Club Limited

Notes to the financial statements (continued)

1 Accounting policies (continued)

Turnover (continued)

c) Matchday

Matchday turnover is recognised based on matches played throughout the year with income from each match being recognised only after the match to which the income relates has been played

Matchday turnover includes income receivable from all domestic and European matchday activities from Manchester United games at Old Trafford, together with the Company's share of gate receipts from cup matches not played at Old Trafford (where applicable) and fees for arranging other events at the Old Trafford stadium. The share of gate receipts payable to the other participating club and competition organisers for cup matches played at Old Trafford (where applicable) is treated as an operating expense.

Matchday turnover which is received in advance of a period end but relating to future periods (mainly the sale of seasonal facilities for first team matches at Old Trafford) is treated as deferred income. The deferred income is then released to turnover as the matches are played.

Accrued income

Income from matchday activities, broadcasting and commercial contracts, which is received after the financial period to which it relates, is accrued as earned.

Deferred income

Income from matchday activities, broadcasting and commercial contracts, which has been received or receivable prior to the period end in respect of future periods, is deferred.

Tangible assets

Tangible assets are initially measured at cost (comprising the purchase price, after deducting discounts and rebates, and any directly attributable costs) and are subsequently carried at cost less accumulated depreciation and any provision for impairment.

Subsequent costs, for example, capital improvements and refurbishment, are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably. Where appropriate, the carrying amount of the replaced part is derecognised. All other repairs and maintenance are charged to the profit and loss account during the financial period in which they are incurred.

Manchester United Football Club Limited

Notes to the financial statements (continued)

1 Accounting policies (continued)

Tangible fixed assets (continued)

With the exception of leasehold property, depreciation on tangible assets is calculated using the straight-line method to write-down assets to their residual value over the estimated useful lives as follows

	Straight line
Plant and machinery	4-5 years
Fixtures and fittings	7 years

Leasehold property is depreciated over the shorter of the expected period of the lease and the expected useful economic life

The assets' residual values and useful lives are reviewed and adjusted if appropriate at each reporting date

Gains and losses on disposals are determined by comparing the proceeds with the carrying amount and are recognised within operating expenses within the profit and loss account

Intangible assets – players' registrations and football staff remuneration

a) Remuneration

Remuneration is charged to operating expenses on a straight-line basis over the contract periods based on the amount payable to players and other football staff for that period. Any performance bonuses are recognised when the Company considers that it is probable that the condition related to the payment will be achieved.

Signing-on fees are typically paid to players in equal annual instalments over the term of the player's contract. Instalments are paid at or near the beginning of each financial year and recognised as prepayments within trade and other receivables. They are subsequently charged to the profit and loss account (as operating expenses) on a straight-line basis over the financial year.

Loyalty fees are bonuses which are paid to players either at the beginning of a renewed contract or in instalments over the term of their contract in recognition for either past or future performance. Loyalty bonuses for past service are typically paid in a lump sum amount upon renewal of a player's contract. These loyalty bonuses require no future service and are not subject to any claw-back provisions were the player to subsequently leave the club during their new contract term. They are expensed once the Company has a present legal or constructive obligation to make the payment, which arises when the new contract is agreed. Loyalty bonuses for ongoing service are typically paid in equal annual instalments over the term of the player's contract. These are paid at the beginning of each financial year and the related charge is recognised in the profit and loss account (as operating expenses) on a straight-line basis over the financial year.

Manchester United Football Club Limited

Notes to the financial statements (continued)

1 Accounting policies (continued)

Intangible assets – players’ registrations and football staff remuneration (continued)

b) Initial recognition

The costs associated with the acquisition of players’ registrations are capitalised at the fair value of the consideration payable. Costs include transfer fees, FAPL levy fees, agents’ fees incurred by the club and other directly attributable costs. Costs also include the fair value of any contingent consideration, which is primarily payable to the player’s former club (with associated levy fees payable to the FAPL), once payment becomes probable. Subsequent reassessments of the amount of contingent consideration payable are also included in the cost of the player’s registration. The estimate of the fair value of the contingent consideration payable requires management to assess the likelihood of specific performance conditions being met which would trigger the payment of the contingent consideration. This assessment is carried out on an individual player basis. The additional amount of contingent consideration potentially payable, in excess of the amounts included in the cost of players’ registrations, is disclosed in note 17(c). Costs are fully amortised using the straight-line method over the period covered by the player’s contract.

c) Renegotiation

Where a playing contract is extended, any costs associated with securing the extension are added to the unamortised balance (at the date of the amendment) and the revised book value is amortised over the remaining revised contract life.

d) Disposals

Gains and losses on disposal of players’ registrations are determined by comparing the fair value of the consideration receivable, net of any transaction costs, with the carrying amount and are recognised separately in the profit and loss account within profit on disposal of players’ registrations. Where a part of the consideration receivable is contingent on specified performance conditions, this amount is recognised in the profit and loss account on the date the conditions are met.

e) Impairment

Management does not consider that it is possible to determine the value in use of an individual football player in isolation as that player (unless via a sale or insurance recovery) cannot generate cash flows on his own. Whilst management does not consider any individual player can be separated from the single income generating unit (“IGU”), being the operations of the Company as a whole, there may be certain circumstances where a player is taken out of the IGU, when it becomes clear that they will not be available to play again for the club, for example a player sustaining career threatening injury. If such circumstances were to arise, the carrying value of the player would be assessed against the Company’s best estimate of the player’s fair value less any costs to sell and an impairment charge made in operating expenses reflecting any loss arising.

Manchester United Football Club Limited

Notes to the financial statements (continued)

1 Accounting policies (continued)

Taxation

Current tax, which comprises UK and overseas corporation tax, is provided at amounts expected to be paid (or recovered) using the tax rates and laws that have been enacted or substantively enacted by the reporting date

Deferred tax is recognised in respect of all timing differences that have originated but not reversed at the reporting date where transactions or events that result in an obligation to pay more (or less) tax in the future have occurred at the reporting date. Timing differences are differences between the Company's taxable profits and its results as stated in the financial statements that arise from the inclusion of gains and losses on tax assessments in periods different from those in which they are recognised in the financial statements

Deferred tax is determined using tax rates and laws that have been enacted or substantively enacted by the reporting date and are expected to apply in the period in which the liability is settled or the asset is realised and is charged or credited in the profit and loss account. Deferred tax is measured on a non-discounted basis

Deferred tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets and current tax liabilities and when the deferred tax assets and liabilities relate to income taxes levied by the same taxation authority on either the same taxable entity or different taxable entities where there is an intention to settle the balances on a net basis

Foreign currencies

Foreign currency transactions are translated into the local currency using the exchange rates prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in the profit and loss account

Financial instruments

The Company uses derivative financial instruments to manage its exposure to fluctuations in foreign currency exchange rates. Derivative instruments utilised by the Company are typically forward currency contracts. The impact on the profit is deferred until the underlying transaction is recognised in the profit and loss account

Leases

Leases in which a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Rentals payable under operating leases are charged to the profit and loss account on a straight line basis over the lease term. Any incentives received at the inception of the lease are recognised on a straight-line basis over the life of the lease

Pension costs

The Company is one of a number of participating employers in The Football League Limited Pension and Life Assurance Scheme ('the scheme'). The Company is unable to identify its share of the assets and liabilities of the scheme. As such the Company's contributions into the scheme are reflected within the profit and loss account when the contributions fall due

Manchester United Football Club Limited

Notes to the financial statements (continued)

1 Accounting policies (continued)

Pension costs (continued)

The Company also operates a defined contribution scheme. The assets of the scheme are held separately from those of the Company in an independently administered fund. The Company's contributions into this scheme are reflected within the profit and loss account when they fall due.

Cash flow statement

The Company is an indirect wholly owned subsidiary of Red Football Limited and is included in the consolidated financial statements of Red Football Limited, which are publicly available. Consequently, the Company has taken advantage of the exemption from preparing a cash flow statement under the terms of FRS 1 (revised 1996) 'Cash Flow Statements'.

2 Turnover

Turnover, all of which arises from the Company's principal activity and originated in the United Kingdom, can be analysed into its main components as follows:

	2013 £'000	2012 £'000
Commercial	2,448	2,531
Broadcasting	94,323	96,078
Matchday	97,671	88,760
	194,442	187,369

Broadcasting income from European cup competitions is distributed by the Football Association and is therefore classified as being of United Kingdom origin and destination.

Manchester United Football Club Limited

Notes to the financial statements (continued)

3 Operating expenses - excluding exceptional items

	2013 £'000	2012 £'000
Operations excluding player amortisation and trading		
Staff costs (note 6)	145,799	133,432
Depreciation (note 9)	4,522	4,621
Operating lease charges – land and buildings	2,000	2,000
Operating lease charges – plant and machinery	187	189
Other operating charges	30,534	26,022
Auditors' remuneration audit services	21	20
	183,063	166,284
Player amortisation		
Amortisation of players' registrations (note 8)	41,714	38,262
	224,777	204,546

4 Operating expenses - exceptional items

	2013 £'000	2012 £'000
Compensation paid to coaching staff on loss of office	2,401	-
Football League pension scheme deficit	-	1,791
	2,401	1,791

Compensation paid to coaching staff on loss of office arose as a result of staff changes following the retirement of the team manager and the subsequent appointment of a new team manager

The Football League pension scheme deficit reflects the present value of the additional contributions the Company is expected to pay to make good the increased deficit of the scheme as per the latest actuarial valuation at 31 August 2011 (see note 18 (a) for further details)

Manchester United Football Club Limited

Notes to the financial statements (continued)

5 Interest payable/(receivable)

	2013 £'000	2012 £'000
Interest payable on Football League pension scheme deficit and other	195	165
Unwinding of discount factors relating to player transfer fees and bank charges	110	272
Total interest payable	305	437
Bank interest receivable	(166)	(131)
Exchange gains on foreign currency denominated bank accounts	(1,029)	(49)
Total interest receivable	(1,195)	(180)
Net interest receivable	(890)	(257)

6 Staff costs

The average number of employees during the year, including directors, was as follows

	2013 Number	2012 Number
By activity		
Football - players	82	79
Football - technical and coaching	76	80
Administration and other	228	232
Average number of employees	386	391

Particulars of employee costs are as shown below

	2013 £'000	2012 £'000
Wages and salaries	129,022	117,830
Social security costs	15,983	14,912
Other pension costs (note 18)	794	690
	145,799	133,432

Directors emoluments amounted to £2,284,000 (2012 £1,618,000), including Company contributions to defined contribution schemes of £10,000 (2012 £nil). The number of directors who held office during the year and were members of a defined contribution scheme was 1 (2012 nil). Emoluments of the highest paid director amounted to £2,098,000 (2012 £1,618,000), including Company contributions to defined contribution schemes of £nil (2012 £nil).

Manchester United Football Club Limited

Notes to the financial statements (continued)

7 Tax on loss on ordinary activities

	2013 £'000	2012 £'000
Current tax		
UK corporation tax on the loss for the year	(12,110)	76
Adjustment in respect of the prior year	(51)	-
Total current tax	(12,161)	76
Deferred tax		
Origination and reversal of timing differences	828	(3,337)
Adjustment in respect of previous years	225	(3,473)
Change in tax rate	(204)	(522)
Total deferred tax (note 13)	849	(7,332)
Tax credit on loss on ordinary activities	(11,312)	(7,256)

The tax credit (2012 charge) for the year is higher (2012 higher) than that resulting from applying the weighted average UK Corporation tax rate of 23.75% (2012 25.5%). A reconciliation of current tax is shown below

	2013 £'000	2012 £'000
Loss on ordinary activities before taxation	(22,684)	(9,534)
Loss on ordinary activities multiplied by the weighted average UK Corporation tax rate of 23.75% (2012 25.5%)	(5,387)	(2,431)
Effect of		
Expenses not deductible for tax purposes	420	445
Capital allowances, rolled over gain on player disposals and other timing differences	(853)	3,337
UK/UK transfer pricing adjustments	(6,290)	(1,275)
Adjustment in respect of previous year	(51)	-
Total current tax	(12,161)	76

Factors that may affect future tax charges

The main rate of UK corporation tax reduced from 24% to 23% from 1 April 2013. The reduction to 23% was enacted in July 2012 and consequently deferred tax balances have been re-measured to 23%.

Proposals have been announced to further reduce the rate to 21% from 1 April 2014 and to 20% from 1 April 2015. The further reductions to 21% and 20% were enacted in July 2013.

The overall effect of the further reductions from 23% to 20%, if these applied to the deferred tax balance at 30 June 2013, would be to reduce the deferred tax liability by £719,000.

Manchester United Football Club Limited **Notes to the financial statements (continued)**

8 Intangible assets – players’ registrations

	Total £'000
Cost	
At 1 July 2012	306,817
Additions	51,175
Disposals	(40,247)
At 30 June 2013	317,745
Accumulated amortisation	
At 1 July 2012	194,418
Charge for the year	41,714
Disposals	(38,334)
At 30 June 2013	197,798
Net book amount	
At 30 June 2013	119,947
At 30 June 2012	112,399

Manchester United Football Club Limited **Notes to the financial statements (continued)**

9 Tangible assets

	Leasehold property £'000	Plant and machinery £'000	Fixtures and fittings £'000	Total £'000
Cost				
At 1 July 2012	144,044	28,879	23,327	196,250
Additions	6,463	1,832	2,733	11,028
Disposals	-	(2,024)	(618)	(2,642)
At 30 June 2013	150,507	28,687	25,442	204,636
Accumulated depreciation				
At 1 July 2012	18,109	26,568	16,040	60,717
Charge for the year	1,770	627	2,125	4,522
Disposals	-	(2,024)	(618)	(2,642)
At 30 June 2013	19,879	25,171	17,547	62,597
Net book amount				
At 30 June 2013	130,628	3,516	7,895	142,039
At 30 June 2012	125,935	2,311	7,287	135,533

Leasehold property represents improvements to the Old Trafford stadium for which the Club has a lease for the land, with the parent undertaking, which expires in 2026 (note 17). The Company has the right to extend the lease indefinitely.

Manchester United Football Club Limited

Notes to the financial statements (continued)

10 Debtors

	2013 £'000	2012 £'000
Amounts falling due within one year		
Trade debtors	13,752	7,363
Amounts owed by group	81,378	58,156
Corporation tax	51	-
Other debtors	83	1,179
Prepayments and accrued income	5,712	4,715
	100,976	71,413
Amounts falling due after more than one year		
Trade debtors	1,583	3,000
Total debtors	102,559	74,413

Trade debtors include transfer fees receivable from other football clubs of £7,913,000 (2012 £6,879,000), of which £1,583,000 (2012 £3,000,000) is receivable after more than one year

Amounts owed by group undertakings are unsecured, interest free and repayable on demand

11 Creditors – amounts falling due within one year

	2013 £'000	2012 £'000
Trade creditors	31,778	26,567
Amounts owed to group	262,797	200,208
Other taxation and social security	10,295	11,608
Other creditors	1,888	1,368
Accruals	7,142	11,078
	313,900	250,829

Trade creditors include transfer fees and other associated costs in relation to the acquisition of players' registrations of £25,970,000 (2012 £22,647,000)

Amounts owed to group undertakings are unsecured, interest free and repayable on demand

Manchester United Football Club Limited

Notes to the financial statements (continued)

12 Creditors – amounts falling due after more than one year

	2013 £'000	2012 £'000
Trade creditors	7,667	6,230
Other creditors - pensions	2,191	2,420
	9,858	8,650

Trade creditors include transfer fees and other associated costs in relation to the acquisition of players' registrations of £7,667,000 (2012 £6,230,000)

Amounts due in respect of the pension scheme deficit are payable over 10 years from September 2012

13 Provision for liabilities

Deferred taxation

This provision for deferred taxation comprises

	2013 £'000	2012 £'000
Accelerated capital allowances	1,789	1,363
Short term timing differences	(1,048)	(881)
Rolled over gain on player disposal	4,771	4,181
	5,512	4,663

The movements in deferred tax balances during the year were as follows

	£'000
At 1 July 2012	4,663
Amount debited to profit and loss account (note 7)	849
At 30 June 2013	5,512

14 Called-up share capital

	2013 £'000	2012 £'000
Allotted, called-up and fully paid		
1,008,546 ordinary shares of £1 each	1,009	1,009

Manchester United Football Club Limited

Notes to the financial statements (continued)

15 Profit and loss account

	£'000
At 1 July 2012	62,691
Loss for the financial year	(11,372)
At 30 June 2013	51,319

16 Reconciliation of movements in shareholders' funds

	2013 £'000	2012 £'000
Loss for the financial year	(11,372)	(2,278)
Net decrease in shareholders funds	(11,372)	(2,278)
Opening shareholders' funds	63,700	65,978
Closing shareholders' funds	52,328	63,700

17 Commitments and contingent liabilities

(a) Lease commitments

At 30 June 2013 the Company had annual commitments under non-cancellable operating leases, as follows

	2013		2012	
	Land and buildings £'000	Other £'000	Land and buildings £'000	Other £'000
Expiry date				
- within one year	-	33	-	15
- between two and five years	-	113	-	118
- after five years (note 9)	2,000	-	2,000	-
	2,000	146	2,000	133

(b) Capital commitments

At 30 June 2013 the Company had capital commitments amounting to £6 7 million (2012 £8 3 million)

Manchester United Football Club Limited

Notes to the financial statements (continued)

17 Commitments and contingent liabilities (continued)

(c) Transfer fees payable

Under the terms of certain contracts with other football clubs in respect of player transfers, additional amounts would be payable by the Company if certain conditions are met. The maximum that could be payable is £20,649,000 (2012 £19,371,000)

At 30 June 2013, the potential amount payable by type of condition and category of player was

	First team squad	Other	Total
	£'000	£'000	£'000
Type of condition			
MUFC appearances/new contract	12,386	4,403	16,789
International appearances	3,700	160	3,860
	16,086	4,563	20,649

At 30 June 2012, the potential amount payable by type of condition and category of player was

	First team squad	Other	Total
	£'000	£'000	£'000
Type of condition			
MUFC appearances/new contract	9,577	6,734	16,311
International appearances	2,700	360	3,060
	12,277	7,094	19,371

(d) Derivative contracts

At 30 June 2013, the Company had entered into derivative contracts for foreign currency. The amounts committed to as at 30 June 2013 are as follows,

GBP foreign currency derivative contracts:

Currency	Principal Value £'000	Average Rate
Euro	27,818	1.157

The fair value of the financial instruments are the amount at which the instruments could be exchanged in a current transaction between willing parties, other than in a forced or liquidation sale. The fair value of the foreign currency swap agreements was estimated by calculating the present value, using appropriate discount rates in effect at the balance sheet date, of affected future cash flows translated, where appropriate, into pounds sterling at the market rates in effect at the balance sheet dates. The fair value asset of the foreign currency agreements was £230,000 (2012 £967,000)

Manchester United Football Club Limited

Notes to the financial statements (continued)

17 Commitments and contingent liabilities (continued)

(e) Debt of fellow subsidiary company

MU Finance plc, a fellow subsidiary of the Company, has issued senior secured notes that are secured by a first-ranking lien over all shares and substantially all property and assets of the issuer and guarantors, which by definition incorporates Red Football Limited, Red Football Junior Limited, Manchester United Limited and the Company. The principal amount outstanding at 30 June 2013 was the sterling equivalent of £177.5 million (\$269.2 million).

During the year ended 30 June 2013 MU Finance plc drew down a US dollar denominated secured term loan. The loan is secured against substantially all of the assets of each of the guarantors, which by definition incorporates Red Football Limited, Red Football Junior Limited, Manchester United Limited, MU Finance plc and the Company. The principal amount outstanding at 30 June 2013 was the sterling equivalent of £208.2 million (\$315.7 million).

18 Pensions

(a) Defined benefit scheme

Certain employees of the Company are members of The Football League Limited Pension and Life Assurance Scheme ("the Scheme"). Accrual of benefits under a final salary basis was suspended with effect from 31 August 1999 following an actuarial review which revealed a substantial deficit.

As one of 92 participating employers, the Company is unable to identify its share of the assets and liabilities of the Scheme and therefore accounts for its contributions as if they were paid to a defined contribution scheme. The Company is advised only of the additional contributions required to pay to make good the deficit. The Company has received confirmation that the assets and liabilities of the Scheme cannot be split between the participating employers. Full provision has been made for the additional contributions that the Company has been requested to pay to help fund the deficit as it is principally attributable to employees who have left the Company or retired. These contributions could increase in the future if one or more of the participating employers exits the Scheme.

Based on the latest actuarial valuation at 31 August 2011, the Company has been advised that the overall deficit of the Scheme has increased to £25,700,000. A charge of £nil (2012: £1,791,000) has been made to the profit and loss account during the year being the present value of the additional contributions the Group is expected to pay to make good the increased deficit of the Scheme. The Company has agreed to make contributions of £3,839,000 over a period of ten years from September 2012. The discounted liability as at 30 June 2013 amounts to £229,000 (2012: £205,000) due within one year and £2,191,000 (2012: £2,420,000) due after more than one year and is included within other creditors.

(b) Defined contribution schemes

Contributions made to defined contribution pension arrangements are charged to the profit and loss account in the year to which they relate and for the year ended 30 June 2013 amounted to £794,000 (2012: £690,000).

The assets of all pension schemes to which the Company contributes are held separately from the Company in independently administered funds.

Manchester United Football Club Limited

Notes to the financial statements (continued)

18 Pensions (continued)

(b) Defined contribution schemes (continued)

As at 30 June 2013, amounts accrued in relation to the defined contribution scheme amounted to £238,000 (2012 £198,000)

19 Related party transactions

Sir R Charlton CBE provides consultancy services to companies within the Manchester United Group. The amount paid for these services during the year was £105,000 (2012 £105,000).

The Company has taken advantage of the exemption under paragraph 3(c) from the provisions of FRS 8 (revised), 'Related Party Disclosures', on the grounds that it is a wholly owned subsidiary of a group headed by Manchester United plc, whose financial statements are publicly available.

20 Post balance sheet events

The playing registrations of certain footballers have been disposed of, subsequent to the balance sheet date, for a total proceeds, net of associated costs of £724,000. The associated net book value was £nil.

Subsequent to the reporting date the playing registrations of certain players were acquired or extended for a total consideration, including associated costs, of £30,061,000.

21 Ultimate parent undertaking and controlling party

The immediate parent undertaking is Manchester United Limited.

The ultimate parent undertaking and controlling party is Red Football Limited Partnership, a limited partnership formed in the state of Nevada, United States of America whose general partner is Red Football General Partner, Inc. a corporation formed in the state of Nevada, United States of America. Red Football Limited Partnership and Red Football General Partner, Inc. are controlled by family trusts affiliated with the Glazer family.

Manchester United plc, a company incorporated in the Cayman Islands and listed on the New York Stock Exchange, is the parent undertaking of the largest group of undertakings to consolidate these financial statements at 30 June 2013. The consolidated financial statements of Manchester United plc can be obtained from the website www.manutd.com.

Red Football Limited is the parent undertaking of the smallest group of undertakings to consolidate these financial statements 30 June 2013. The consolidated financial statements of Red Football Limited can be obtained from the Company Secretary, Red Football Limited, Old Trafford, Manchester, M16 0RA.